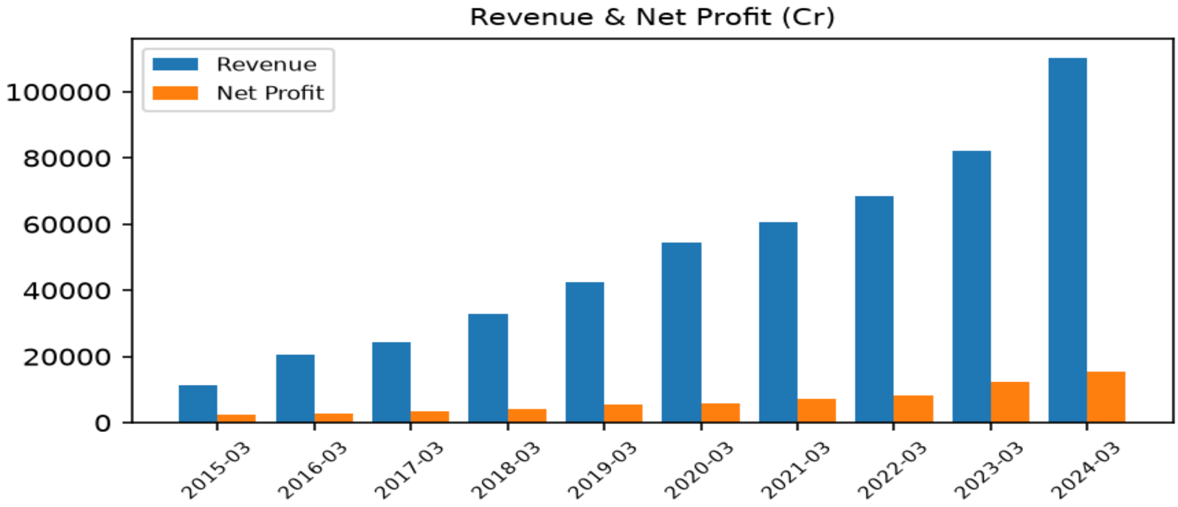
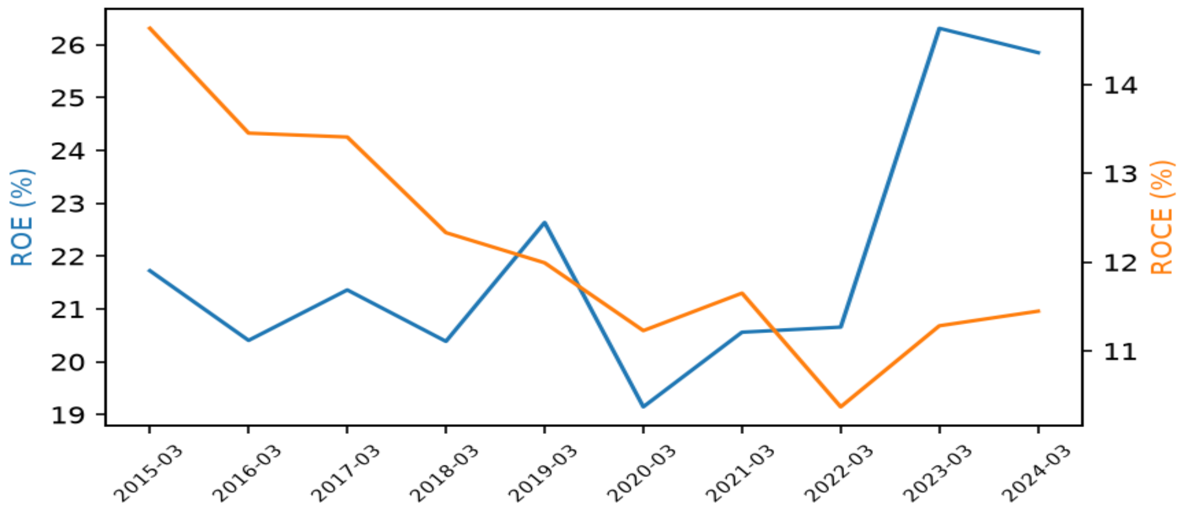
Bajaj Finserv Ltd (BAJAJFINSV)

ROE 25.9%	**ROCE** 11.4%	**Net Profit Margin** 14.1%
D/E 4.8	**Revenue CAGR 5yr** 21.0%	**Free Cash Flow (Cr)** -79634.0

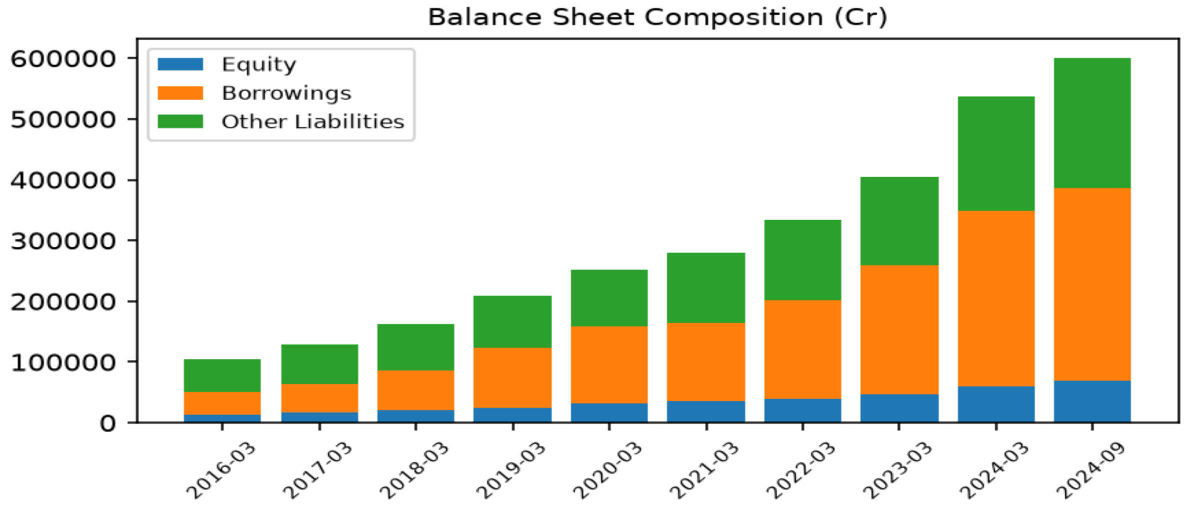
Revenue & Net Profit (10yr)



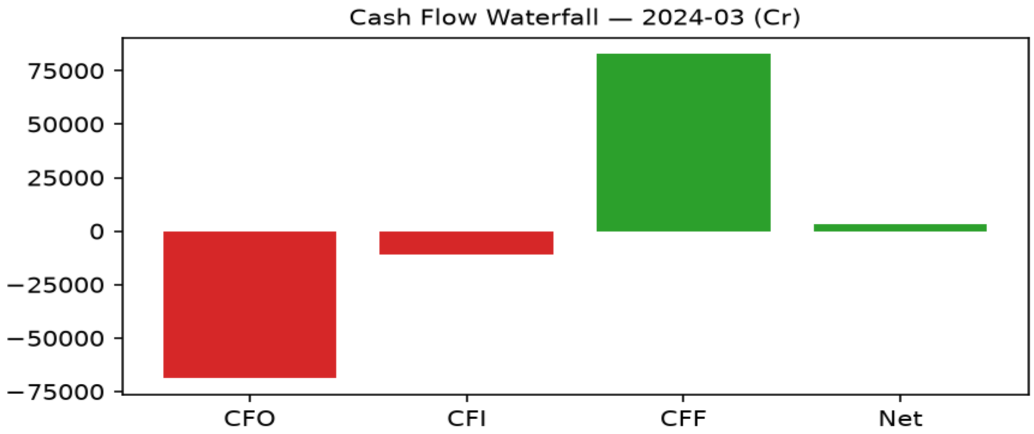
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Return on equity of 25.9% reflects the company's baseline capital efficiency.

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Debt-to-equity of 4.79 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt